

**UNITED STATES DISTRICT COURT
FOR THE DISTRICT OF COLORADO**

UNITED STATES WELDING, INC.,
Plaintiff,
a Colorado corporation,

v.

TECSYS, INC.
Defendant,
a Canadian corporation.

Civil Action No.

COMPLAINT

JURY TRIAL DEMANDED

Plaintiff US Welding, Inc. for its complaint against Tecsys, Inc. alleges as follows:

NATURE OF ACTION

1. This action arises from Tecsys' scheme to defraud United States Welding, Inc. ("USW"), a small family owned gas and welding supply company, by misrepresenting the capabilities of Tecsys' EliteSeries software solution to obtain a multi-million dollar contract to upgrade and replace USW's computer systems. In addition to fraudulently inducing its contract with USW, Tecsys thereafter breached that contract by providing USW with incompetent and inexperienced consultants who implemented a defective system that caused severe damage to USW's business.

THE PARTIES

2. United States Welding, Inc. ("USW") is a Colorado corporation with its principal place of business in Denver, Colorado. The company has 16 branches in the Rocky

Mountain Region with customers in Kansas, Nebraska, Utah, Wyoming and Idaho. USW is primarily engaged in the business of selling atmospheric gas such as Argon, Nitrogen and Oxygen to industrial and medical users.

3. Upon information and belief, Tecsys, Inc. ("Tecsys") is a publicly traded Canadian corporation with its principal place of business at 1 Place Alexis Nihon, Suite 800, Montreal, Quebec Canada H3Z 3B8 and with its United States headquarters located at 1001 Avenue of the Americas, 4th Floor, New York NY 10018. Tecsys is in the business of manufacturing and selling specialized software to industrial users.

JURISDICTION AND VENUE

4. Jurisdiction of this Court is proper under 28 U.S.C. § 1332(a)(2). This matter involves a citizen of the state of Colorado and a citizen of a foreign country and the matter in controversy exceeds the sum or value of \$75,000.00, exclusive of interest and costs.

5. Venue is proper within this Judicial District under 28 U.S.C. § 1391(a) and (c). Defendant Tecsys is subject to in personam jurisdiction in Colorado, as a substantial part of the events, misrepresentations, and/or omissions giving rise to the claims occurred within this District. In addition, some of the claims in this case involve a contract between the parties in which they consented to the personal jurisdiction of the state and federal courts located in Denver, Colorado; and agreed that all causes of action arising out of the contract or the relationship of the parties shall be governed by and construed under the laws of the State of Colorado.

FACTUAL ALLEGATIONS

A. USW's Business and Basic Needs.

6. USW has distinguished itself from its competition by having an almost singular

focus on constantly improving its business processes. One of USW's guiding principles has always been to be the best-run business in its industry. USW is so committed to this goal that the slogan "faster, better, different" is printed on its internal documents and marketing material. By focusing on analytics, internal business processes and increasing internal efficiencies, USW has long been in a position to quickly respond to both its customers' needs and changing business pressures.

7. Prior to the events herein, USW ran its business on a twenty-year-old legacy Enterprise Resource Planning¹ software ("ERP") system called WISDM. The WISDM software was stable and provided USW with basic functionality, but it was outdated. It lacked the ability to interface with modern Business Intelligence software² and was unable to track USW's goods or provide real time analytics regarding financials, sales and distribution. Without modern Business Intelligence functionality, USW was unable to run sophisticated analytics to gain insight into USW's financials. The lack of real time analytics and inability to interface with Business Intelligence software left USW at a disadvantage for modern commercial needs.

8. In 2008, USW began searching for a turnkey, out of the box software system specifically designed for the gas and welding industry to replace its WISDM ERP software. USW required its replacement ERP software to track its goods, utilize real time analytics for financials, sales and distribution, utilize Business Intelligence functionality for financials, and utilize best practices unique to the gas and welding industry.

¹ The software used by a distribution company to address its many varied needs is known as Enterprise Resource Planning Software. It consists of numerous software "application" programs designed to perform a variety of tasks including, without limitation, financial accounting, distribution planning and inventory control.

² Business intelligence software is software that utilizes a set of theories, methodologies, architectures, and technologies to transform raw data into meaningful and useful information for business purposes.

B. USW's Software Needs.

9. Tecsys' sales material stated that *"TECSYS' EliteSeries [contains] inherent support of 'best practices' and the ability to extend the system to support our unique requirements. The solution's fit to our industry is 'out of the box' . . ."*

10. Upon learning of USW's interest in new software, Tecsys sent its representatives Steve Fliehman, Francois Huneault, Marie Fournier and Jean-Francois Landry to aggressively pitch Tecsys' EliteSeries software solution to USW in order to induce USW to purchase it.

11. From the outset of its pre-contract interactions with Tecsys, through the sales-cycle beginning May 1, 2008 and culminating with the April 30, 2010 signing of a contract, USW emphasized four primary concerns to Tecsys. Specifically, at Tecsys sales presentations, at informal meetings and on phone conversations, USW advised Tecsys that:

a. USW had no experience with software implementations, lacked the knowledge or experience necessary to perform such a project by itself and would be relying on Tecsys' expertise, experience, advice, and guidance on even the most basic software implementation issues;

b. USW had very limited time and resources to support the implementation and maintenance of the EliteSeries software and would be relying on Tecsys to perform and manage the implementation and maintenance with minimal use of USW resources;

c. USW desired an out of the box, turn key software solution designed for the gas and welding industry that utilized industry best practices and allowed USW to perform substantive financial analysis using sophisticated Business Intelligence functionality;

d. USW required functionality including but not limited to: a production module that

would automatically reflect USW's inventory of cylinders and gas; a fully integrated system that would accurately reflect sales transactions and adjustment transactions and reflect such transactions in customers' accounts; a customer portal that would allow USW's customers to access and utilize account information via the Internet and an e-commerce module.

12. Tecsys' sales team conducted numerous site visits, surveys and analysis to learn about USW's business processes, needs and concerns and was aware of those needs. Tecsys' response throughout the pre-contract sales-cycle was to represent that it understood each of these concerns and to tout the suitability of Tecsys' services and the suitability of Tecsys' EliteSeries software for USW's needs. Assuring USW that it was familiar with and understood USW's business needs, Tecsys aggressively touted its EliteSeries software solution as an out of the box solution for the gas and welding industry that would meet all of USW's business requirements.

13. In good faith reliance on Tecsys' representations, including those identified below, USW signed Tecsys' software license agreement on April 20, 2010 as well as its attached Order Form and Statement of Work (all of the foregoing constituting the "Agreement") (attached as Exhibit A). Under the Agreement, USW licensed the EliteSeries software and hired Tecsys to implement and maintain it. In the Agreement, Tecsys explicitly agreed that it would: (a) exert diligent good faith efforts to provide Services in a timely fashion; and (b) that the Tecsys software would operate in substantial conformity with the User Manuals or Enhancement specifications.

C. Tecsys' Misrepresentations and Deception.

14. Unknown to USW at the time, Tecsys was already abandoning the software package it sold USW as outdated and incomplete, and was well along to replacing it with

better functioning, less expensive software with more suitable features. In fact, in an email to USW's Kathy Lofgren sent well into the implementation, Tecsys' CEO said, *"Some implementations have gone well and some have been difficult . . . our [customer] base has been shrinking. Our current thinking is to slow our push into the [gas and welding] industry until we have our 9.x fully released . . . this will provide us with a platform that is easier to use, simpler to implement, runs on SQL-server and will ultimately be lower cost."*

15. Unknown to USW at the time, Tecsys' management had little interest in continuing to invest in or support the version of the EliteSeries software it licensed to USW. Instead of dedicating resources to USW's implementation, Tecsys was slowing its push into the gas and welding industry and was dedicating its resources into developing a new version of its EliteSeries software. In an acknowledgment of Tecsys' failed push into the industry and the inadequate design of its system, this new version of the EliteSeries software would run on different code and be easier to use, implement and maintain than the version licensed to USW.

16. Unknown to USW and contrary to Tecsys' representations, the EliteSeries software was far from an out of the box turnkey solution designed for the gas and welding industry. The reality was that the EliteSeries software did not utilize best practices for the gas and welding industry, was unproven in USW's industry and key functionality had never been used or implemented by any customer in any industry.

17. Unknown to USW and contrary to Tecsys' representations, Tecsys had no other gas and welding customers that had implemented the same functionality presented to USW.

18. Unknown to USW and contrary to Tecsys' representations, Tecsys' business

model relied on extensive customer involvement and use of customer resources for the successful implementation of the software and the provision of services and maintenance.

19. Unknown to USW and contrary to Tecsyst's representations, Tecsyst's push into the gas and welding industry was an abject failure. Tecsyst's customer base was dwindling with many customers simply abandoning their implementations due to the software's many problems or were unable to successfully implement the EliteSeries software.

20. Unknown to USW and contrary to Tecsyst's representations, the version of EliteSeries pushed on USW by Tecsyst did not utilize Business Intelligence for financials. Further, the Business Intelligence functionality sold with the EliteSeries software was so outdated and obsolete that it could only generate very rudimentary, unsatisfactory reports.

21. Unknown to USW and contrary to Tecsyst's representations, the only way for the Tecsyst EliteSeries software to provide the robust Business Intelligence functionality Tecsyst had promised, if at all, was for USW to pay for costly modifications or to upgrade to a new version of Elite. Yet, after spending more than \$50,000 on Tecsyst's failed promises, the EliteSeries software is incapable of drilling down or investigating USW's financials and cannot even generate a fully functioning financial statement.

22. Unknown to USW and contrary to Tecsyst's representations, the EliteSeries software was not a fully integrated system. The EliteSeries software could not accurately enter transactions into its third party cylinder-tracking functionality called Trackabout. Consequently, USW had to inefficiently download transactions and manually compare entries into Elite with those in Trackabout to ensure revenue was not lost and customer accounts were accurate.

23. Contrary to Tecsyst's representations, the EliteSeries software failed to contain a functioning out of the box production module capable of accommodating a push model of

inventory depletion to monitor and analyze USW's inventory of cylinders and bulk gas. The EliteSeries production module was incapable of accurately posting inventory transactions into the software's General Ledger and Production Journal. Even after engaging Tecsys to fix its defective production module, the production module today is only able to marginally operate and remains inaccurate.

24. Unknown to USW and contrary to Tecsys' representations, no other customer had used or implemented Tecsys' production module with a push model of inventory depletion.

25. Unknown to USW and contrary to Tecsys' representations, the EliteSeries software never contained a completed, usable e-commerce module.

26. Unknown to USW and contrary to Tecsys' representations, Tecsys' customer portal module was not fully functional and no other customer had used or implemented it.

27. Unknown to USW and contrary to Tecsys' representations, the EliteSeries software was not validated by the FDA for compliance.

28. Unknown to USW and contrary to Tecsys' representations, Tecsys was a neophyte to the gas and welding industry. The EliteSeries software did not utilize best practices. The software could not generate a federally mandated 1099 form or automatically update standard item costs. Further contrary to Tecsys' representations, the EliteSeries software was not DOT compliant or serial number compliant. In an acknowledgment of its misrepresentations and the software's failure to meet USW's business needs, Tecsys asked USW to stop utilizing best practices and conform its business processes to the software's limitations.

29. The EliteSeries software is so woefully deficient that USW cannot use it to execute a month-end close in a commercially reasonable manner – let alone a manner that

utilizes best practices. The EliteSeries software is so fragile that USW encounters new and different problems with the software each month-end. Because the EliteSeries software is incapable of reasonably executing a month-end close, USW is forced to dedicate 4 to 5 full time high salaried employees to monitor the software for errors and hope that Tecsys support is available to try to remedy issues. USW's month-end close went from hours with WISDM to days with Elite.

30. The EliteSeries software is incapable of providing crucial functionality that USW needs to run its business. Tecsys' services and Tecsys' EliteSeries software have not only failed to provide the functionality Tecsys promised to USW, but they have brought USW's business to a near standstill.

D. Tecsys Breaches the Agreement, Again.

31. As one of USW's owners summarized her frustration, *"[W]e were put out of business by Tecsys on 4 days - 6/14/13, 6/28/13, 7/2/13 and 7/22/13 . . . The parts and pieces do not fit together and when they do not fit together we are charged for the fix after we have paid for the product. It is terrible not to stand behind your product. The in-fighting and finger-pointing internally at Tecsys brings the customer into Tecsys' dysfunction when we are only trying to be a business using Elite software as the vehicle to sell products, profitably."*

32. In addition to fraudulently inducing USW to enter into its contract, Tecsys thereafter continuously breached the Agreement by failing to provide services in accordance with the Agreement and failing to provide qualified personnel to perform services.

33. Tecsys provided USW with incompetent and inexperienced consultants who implemented a deficient system that caused and continues to cause severe damage to

USW's business. Tecsys rewarded USW's trust and reliance with a negligent, wanton, willful and reckless indifference to USW's needs.

34. Rather than providing capable, knowledgeable experts to install and fine tune a very complex system, Tecsys' employee Anthony LaBarbara thanked Tecsys for being an unvolunteered guinea pig, remarking that *"I want to take this opportunity to thank you for letting me use USW as my training ground. Having spent the last 2 weeks with Karen has given me a lot more confidence and knowledge on our system but more specifically, it has shown me the techniques on how to "teach." It wasn't that I didn't know our system, it was that I couldn't teach people how to use it."*

34. The Tecsys consultants assigned to train USW in the use of the EliteSeries software had no previous training experience and could not teach people how to use the Elite software. Similarly, the Tecsys consultants responsible for attempting to modify the Elite Software so that it could produce financial statements had no financial or accounting education. Tecsys negligently assigned inexperienced and unqualified consultants to USW who used USW as a training ground - all the while charging USW for the incompetence of Tecsys' staff.

35. Internal miscommunication, ignorance and confusion at Tecsys was so rampant that one group of Tecsys consultants would modify the EliteSeries software only for another group to undo the modifications resulting in additional costs and delays to USW.

36. When USW tried to utilize the 24/7 support it had paid for, Tecsys refused to provide support and shifted responsibility to an internal Tecsys group called ATS. Though USW had already paid for 24/7 support, Tecsys required USW to pay additional fees for Tecsys' ATS support organization to provide support after normal business hours.

37. The system go-live was a disaster. Tecsys botched the conversion of data from USW's legacy WISDM system to the EliteSeries. This resulted in a number of crippling problems. The Elite software failed to track or process orders correctly, lost orders, failed to balance a cash drawer and lacked the ability to generate a meaningful financial statement. Instead of using the software it had paid so much money for, USW was forced to manage its business with pen and paper for almost a year following the failed go live and could not even generate a financial statement for 9 months following the failed go-live.

38. Tecsys' CEO admitted that *"There is no question that our team should have been more proactive in managing the Oracle DB."*

39. The EliteSeries software only functions with a sophisticated Oracle Database that Tecsys licensed to USW. Tecsys' ATS group agreed to maintain the Oracle database. However, in blatant disregard of its obligations and USW's trust and reliance, Tecsys' ATS group simply ignored its maintenance obligations. Tecsys' employees seemingly believed such maintenance services were beneath their level of sophistication and let the Oracle database fail. Tecsys' failure shut down USW's business on: April 18, 2012; April 28, 2012; May 8, 2012; May 10, 2012; May 11, 2012; May 27, 2012; June 6, 2012; June, 20, 2012; August 16, 2012; November 8, 2012; November 22, 2012; June 14, 2013; June 28, 2013; July 2, 2013; July 4, 2013 and July 22, 2013. Without the ability to properly operate its business, USW took orders from its customers using pen and paper. When USW advised Tecsys of the complete shutdown of its business, Tecsys' blithe response was "[l]et [us] know if you need anything." In a bait and switch, Tecsys would only honor its maintenance obligation if USW purchased additional servers at additional expense.

40. Tecsys assured USW that by modifying the EliteSeries software USW would finally be able to utilize the Business Intelligence functionality Tecsys had promised USW. Based on Tecsys' assurances, USW again put its trust and reliance in Tecsys and paid Tecsys to modify the software. Tecsys rewarded USW's trust by failing to even start the project and only bothered to notify USW of its failure to begin the project when USW requested a status update on the project's deadline.

41. In a drive to extract even more fees from USW, Tecsys advised USW that only after a costly upgrade (not modification) could the software provide the Business Intelligence functionality originally promised to USW during the sales cycle. Privately, Tecsys' Marie Fournier (the third project manager on the USW account) contradicted other Tecsys staff members by warning USW not to upgrade because the next version of Elite was so expensive and so flawed USW was unlikely to get it to work.

42. The result of Tecsys' fraud and willful, wanton and negligent conduct was a failed software system that was defectively designed, deficiently installed and incapable of meeting USW's most basic, promised business needs. Because of Tecsys' misrepresentations and failures, USW has lost its competitive advantage, its business is worse than before and it now operates financially rudderless. USW has sustained millions of dollars in damages as well as injury to its brand, reputation and relationships with its suppliers and customers. Tecsys, meanwhile, has pocketed over \$1.6 million in fees it fraudulently obtained from USW for defective software, defective services and a mismanaged implementation. Incredibly, rather than refunding the fees received from USW, Tecsys has sought to profit from its misconduct by demanding hundreds of thousands of dollars to upgrade the Elite software to a version that has never been tested or fully implemented in any industry thus far.

COUNT I
FRAUDULENT INDUCEMENT

43. USW repeats, realleges and incorporates paragraphs 1 through 42 as if fully set forth herein.

44. As set forth above, Tecsys made misrepresentations of material fact and failed to disclose material facts to USW for the purpose of inducing USW to enter into the Agreement.

45. In particular, Tecsys' sales team made misrepresentations of material fact regarding the ability of the EliteSeries software to meet USW's business needs. In meetings held on May 1, 2008, August 13, 2009, August 14, 2009, January 6, 2010, January 7, 2010, January 28, 2010, February 18, 2010, April 22, 2010, and April 27, 2010 Tecsys' representatives Marie Fournier, Jean-Francois Landry, Steve Fliehman and Francois Huneault told USW's representatives Kathy Lofgren, Richard Lofgren, Denie Ronnenkamp, Jess Kershner, Earlyne Winters, and Jayne Bales, that the EliteSeries software:

- e. Was an out of the box software solution;
- f. Was a turnkey software solution;
- g. Was designed for the gas and welding industry;
- h. Utilized best practices in the gas and welding industry;
- i. Contained an e-commerce module that would meet USW's business needs;
- j. Contained a production module that would accommodate USW's push model of inventory depletion for cylinders and gas;
- k. Contained a completed and usable e-commerce module;

- l. Contained a customer portal module that was fully functional and had been used or implemented by other Tecsys customers;
- m. Had been validated by the FDA for compliance;
- n. Was DOT compliant;
- o. Was a fully integrated system that would accurately record sales transactions and adjustment transactions;
- p. Was a fully integrated system that would accurately reflect sales transactions and adjustment transactions in customers' accounts;
- q. Contained sophisticated Business Intelligence functionality for financials; and
- r. Was capable of sophisticated cylinder tracking that would meet USW's business needs.

46. In those same meetings and on those same dates, Tecsys misrepresented that it was already able and set up to successfully perform and manage the implementation and maintenance of the EliteSeries software using minimal USW resources.

47. In those same meetings and on those same dates, Tecsys misrepresented that other Tecsys customers had used or implemented Tecsys' production module with a push model of inventory depletion.

48. In addition to the misrepresentations detailed above, Tecsys' sales team at those same meetings and on those same dates failed to disclose material facts to USW including:

- s. The Oracle database Tecsys sold to USW was so sophisticated that it required ongoing monthly database administration services costing thousands of dollars per month;
- t. No other gas and welding customers had implemented the same functionality

promised to USW;

- u. Tecsys' business model relied on substantive customer involvement and extensive use of customer resources for the successful implementation of software and the successful provision of services and maintenance;
- v. Tecsys' customer base was dwindling with many customers abandoning their implementations or unable to successfully implement the EliteSeries software;
- w. Tecsys was moving away from the gas and welding industry and focusing on a new version of the EliteSeries software;
- x. Tecsys would assign incompetent and inexperienced consultants to implement, modify and maintain the EliteSeries software;
- y. Tecsys' EliteSeries software could not perform even the most basic of tasks like balancing a cash drawer, easily update prices globally or easily update standard item costs;
- z. The only way for the EliteSeries software to provide the Business Intelligence functionality Tecsys had promised, if at all, was for USW to pay for costly modifications or to upgrade to a new version of Elite that had never been fully implemented in any industry.

49. As set forth above, Tecsys made misrepresentations of material facts and failed to disclose material facts to USW regarding the suitability of Tecsys' EliteSeries software for USW's business requirements including the EliteSeries software's ability to meet USW's functional needs.

50. Tecsys made such misrepresentations and omissions to induce USW to enter into the Agreement. USW justifiably relied upon Tecsys' misrepresentations and omissions in entering into the Agreement. If Tecsys had truthfully disclosed the relevant facts to